

The price of raw materials may increase to 110 USD 3 months later from 100 USD. But as the company had hedged it, the change in the raw material prices won't affect the company. The company will get it for 100 USD and save 10 USD if the price increases. Similarly, if the price of the raw materials goes down to 90 USD, the company will still have to pay 100 USD. This is what hedging means. The company is fixing its buying and selling price in the future based on today's prices so that it doesn't have to take the risk of variation or variable outcomes in the future due to changes in prices.

**Price of raw materials** → **110 USD** Now ----- **100 USD** 3 months later

*(But as the company has hedged it, the change in raw material prices won't affect the company).*

**Company will get** → **100 USD** ----- save ----- **10 USD** (if the price increases)

The company can apply this to raw materials, commodities, interest rates, foreign currencies, etc. Let's say that the company earns its revenue in USD and major expenses are in INR.

If it wants to use the Indian rupees, then it can use a forward or derivative contract hedge to cut down on foreign exchange fluctuation risks. Currency fluctuation will not affect them. However every company does not hedge every risk.



For Pidilite, we need to understand if the company is exposed to variable factors which have variable prices. We have already seen that the company's raw materials are derivatives of crude oil, which fluctuates, and thus the company can choose to hedge the price.

- ◇ They have exposure to crude oil prices, which affects COGS which is 45 percent of their revenue, as seen in Common Size Statement.
- ◇ The company has Interest Rate risk. However, it is not significant and can be considered negligible when it comes to the company's profit margin.
- ◇ As the company has sales outside India, it does have foreign currency risk as it gets income in dollars and other currencies. Thus, it needs to hedge that risk as well. The company might also have to spend dollars to buy crude oil.